

Bryn Mawr College
Econ 214: Public Finance
Fall Semester 2024

Contact Information:

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Office hours: Wednesday: 3 – 4pm & Thursday: 12 – 1pm

This syllabus provides a general plan for the course; deviations may be necessary.

Course Objective:

This course focuses on the role of the government in the economy. The aim is to provide an understanding of the reasons for government intervention in the economy, analyzing the benefits of possible government policies, and the response of economic agents to the government's actions. Topics include public goods, externalities, cost-benefit analysis, health care, income redistribution, tax analysis, and the U.S. personal income tax.

Prereq. ECON 105 - Introduction to Economics.

Textbook:

The textbook for this course is *Public Finance and Public Policy* by Jonathan Gruber 6th Edition (any edition). Additional readings will be posted on Moodle.

Course Requirements:

The course requirements include homework assignments and three exams. Homework will be submitted on Moodle or in-class and must be professionally presented for full credit. Presentations will have assigned general content. Practice problems will be posted along with corresponding answer keys. These questions will be similar to the problems we solve in class and be good practice for exams. Exams 1 and 2 will be in **in class**.

Component	Date	Share in total grade
Exam 1	October 8, 2024	25%
Exam 2	November 7, 2024	25%
Final exam	Final exam period	25%
Homework & Group assignments		20%
Class participation		5%

A numeric grade of 4.0, 3.7, 3.3, 3.0, 2.7, 2.3, and 2.0 will be assigned to you on the basis of your cumulative score.

4.0: 95%-100% 3.7: 90%-94% 3.3: 87%-89% 3.0: 83%-86% 2.7: 80%-82% 2.3: 77%-79% 2.0: below 76%.

Homework

Homework will be due no less than one week after they are assigned. You must turn in your own work, but group effort is permitted and encouraged. Homework turned in late after the due date will be docked 10 percentage points every 24 hours. After 5 days late, the maximum possible grade will be 50% of the full points

Disability Support Services: Reasonable Accommodations

Bryn Mawr College is committed to providing equal access to students with a documented disability. Students needing academic accommodations for a disability must first register with Access Services. Students can call 610-526-7516 to make an appointment with the Director of Access Services, Deb Alder, or email her at dalder@brynmawr.edu to begin this confidential process. Once registered, students should schedule an appointment with the professor as early in the semester as possible to share the verification form and make appropriate arrangements. Please note that accommodations are not retroactive and require advance notice to implement. More information can be obtained at the Access Services website. (<http://www.brynmawr.edu/access-services/>)

Any student who has a disability-related need to record this class first must speak with the Director of Access Services and to me, the instructor. Class members need to be aware that this class may be recorded.

Academic Honesty

Students are responsible for knowing and adhering to the Bryn Mawr Honor Code. If you have any questions about expectations, please ask.

Title IX:

Bryn Mawr/Haverford College is committed to fostering a safe and inclusive living and learning environment where all can feel secure and free from harassment. All forms of sexual misconduct, including sexual assault, sexual harassment, stalking, domestic violence, and dating violence are violations of Bryn Mawr/Haverford's policies, whether they occur on or off campus. Bryn Mawr/Haverford faculty are committed to helping to create a safe learning environment for all students and for the College community as a whole. If you have experienced any form of gender or sex-based discrimination, harassment, or violence, know that help and support are available. Staff members are trained to support students in navigating campus life, accessing health and counseling services, providing academic and housing accommodations, and more.

The College strongly encourages all students to report any incidents of sexual misconduct. Please be aware that all Bryn Mawr/Haverford employees (other than those designated as confidential resources such as counselors, clergy, and healthcare providers) are required to report information about such discrimination and harassment to the [Bi-College Title IX Coordinator](#).

Information about the College's Sexual Misconduct policy, reporting options, and a list of campus and local resources can be found on the College's website:

[Bryn Mawr Sexual Misconduct Policy](#)
[Haverford Sexual Misconduct Policy](#)

Tentative Course Outline:

	Topics	Chapter
September 3, 2024	Introduction and Review: Demand, Supply, and Welfare	1,2
September 5, 2024	Review: Budget Constraint and Consumer Theory	2
September 10, 2024	Externalities	5,6
September 12, 2024	Public goods	7
September 17, 2024	Public goods	7
September 19, 2024	Cost benefit analysis	8
September 24, 2024	State and Local government expenditure	9,10
September 26, 2024	State and Local government expenditure	10
October 1, 2024	Education	11
October 3, 2024	Exam Review	
October 8, 2024	Exam 1	
October 10, 2024	Education & Social Insurance	11 & 12
October 15, 2024	Fall Break	
October 17, 2024	Fall Break	
October 22, 2024	Social Insurance & Health insurance	12,15
October 24, 2024	Health insurance	16
October 29, 2024	Income Distribution and welfare program	17, 21.3
October 31, 2024	Income Distribution and welfare program	17, 21.3
November 5, 2024	Exam Review	
November 7, 2024	Exam 2	
November 12, 2024	Taxation in the US and around the world	18
November 14, 2024	No class - Assignment	19
November 19, 2024	Tax incidence	
November 21, 2024	Tax inefficiencies and their implications	20
November 26, 2024	Tax inefficiencies and their implications	20
November 28, 2024	Thanksgiving	
December 3, 2024	Tax on labor supply	21
December 5, 2024	Tax evasion and behavioral economics	
December 10, 2024	Fundamental Tax Reform and Consumption Taxation	25
December 12, 2024	Exam Review	

Reading List:

Week 1

- Desmond, Matthew. *Poverty by America*. Chapter 1.

Week 2

- Stiglitz, Joseph. 2016. "Inequality and Economic Growth." In *Rethinking Capitalism*, edited by Michael Jacobs and Mariana Mazzucato, Chapter 8. Wiley-Blackwell.
- Banzhaf, Spencer, Lala Ma, and Christopher Timmins. 2019. "Environmental Justice: The Economics of Race, Place, and Pollution." *Journal of Economic Perspectives* 33(1): 185-208.

Week 3 and 4

- Hendren, Nathaniel. "A Unified Welfare Analysis of Government Policies." Available at: [Link](#)
- Bartels, Larry. 2016. "Partisan Political Economy." In *Unequal Democracy: The Political Economy of the New Gilded Age*, Chapter 2. Princeton University Press.

Week 6, 7, and 9

- Desmond, Matthew. *Poverty by America*. Chapter 2: "Why Haven't We Made More Progress."
- Desmond, Matthew. *Poverty by America*. Chapter 5: "How We Rely on Welfare."

Week 8

- Glied, Sherry A. M., and Adam Sacarny. 2018. "Achieving Universal Health Insurance Coverage in the United States: Addressing Market Failures or Providing a Social Floor?" *Journal of Economic Perspectives* 32(3): 53-76.

Week 10 - 15

- International Monetary Fund. 2021. "Tax Equity in Low- and Middle-Income Countries." *Journal of Economic Perspectives* 35(4): 77-100.
- Chetty, Raj, Adam Looney, and Kory Kroft. 2009. "Salience and Taxation: Theory and Evidence." *American Economic Review* 99(4): 1145-1177.
- Desmond, Matthew. *Poverty by America*. Chapter 9: "Tear Down the Walls."
- Lowrey, Annie. 2018. "\$1,000 a Month." In *Give People Money: How a Universal Basic Income Would End Poverty, Revolutionize Work, and Remake the World*, Chapter 10. Broadway Books.